

CANADA BREAD COMPANY, LIMITED

FIRST QUARTERLY REPORT

1997



CANADA BREAD COMPANY, LIMITED

REPORT TO SHAREHOLDERS:

Net earnings for the quarter were $7.2 million ($0.34 per share) compared with $3.6 million ($0.17 per share) for the same period last year. Included in net earnings is a one time after tax gain of approximately $4 million on the sale of Brooklyn Bagel Boys, Inc. on January 2, 1997.

Sales for the quarter increased by 2.5% to $111.6 million and when taking into account the sale of Brooklyn Bagel Boys, Inc., sales, on a comparable basis, increased by a very positive 11.6%. The 1996 second quarter acquisitions of Bella Pasta Inc. and Venice Bakery Ltd., contributed significantly to this growth. Sales from frozen bakeries and our pasta and sauce operations continue to experience good growth, while fresh bakeries' volume was impacted by severe weather conditions, particularly in Western Canada. Earnings were also influenced by the timing of the divestiture of Brooklyn Bagel Boys, Inc. and we expect continued improvement in earnings throughout the year from our reinvestment of the proceeds of the sale.

In January the Company announced that it was building a $25 million state-of-the-art manufacturing facility in Calgary, Alberta. We are pleased to report that construction is well under way and the scheduled opening in July is on target.

At the Annual and Special meeting held on April 30, the shareholders approved a resolution to change the name of the Company to Canada Bread Company, Limited, which served as the symbol of the Company from its incorporation in 1911 through to 1969. This change will better reflect our business as Canada's only national bakery and our focus on further development of our key national brands — Dempster's, Olivieri and Tenderflake.

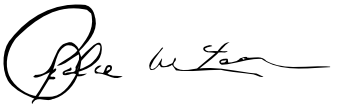
The Company declared a quarterly dividend of $0.06 per share, payable July 2, 1997, to shareholders of record, June 13, 1997.

We would like to welcome Mr. Charles J. Mayer to the Board of Directors and extend our thanks to Mr. Norman T. Currie for his many years of dedicated service.

For the Board of Directors,



David H. Lees
President and Chief Executive Officer



Archibald D. McLean
Chairman

CONSOLIDATED STATEMENTS OF EARNINGS

(In thousands of Canadian dollars, except per share amounts)	FOR THE TWELVE WEEKS ENDED March 22, 1997 (unaudited)	March 23, 1996 (unaudited)
Sales	**$111,557**	**$108,937**
Earnings from operations	**4,400**	**5,298**
Interest expense	(309)	(684)
Other income	784	823
Gain on sale of business	6,300	—
Earnings before income taxes	**11,175**	**5,437**
Income taxes	4,014	1,881
Earnings before minority interest	**7,161**	**3,556**
Minority interest	(4)	(5)
Net earnings for the period	**$7,157**	**$3,551**
Earnings per share	**$0.34**	**$0.17**
Dividends per share declared	**$0.06**	**$0.06**
Weighted average number of shares (millions)	**21.3**	**21.3**

The March 23, 1996 consolidated Statement of Earnings has been reclassified to conform to the presentation of the March 22, 1997 consolidated Statement of Earnings.

CONSOLIDATED STATEMENTS OF CHANGES IN FINANCIAL POSITION

(In thousands of Canadian dollars)	FOR THE TWELVE WEEKS ENDED March 22, 1997 (unaudited)	March 23, 1996 (unaudited)
CASH PROVIDED BY (USED IN):		
OPERATING ACTIVITIES		
Net earnings for the period	$7,157	$3,551
Add (deduct): items not affecting cash:		
Depreciation	3,410	3,184
Amortization	534	528
Undistributed earnings of an associated company	(825)	(750)
Deferred income taxes	—	200
Minority interest	4	5
Gain on sale of business	(6,300)	—
Changes in non-cash working capital	(2,880)	(8,623)
	1,100	(1,905)
FINANCING ACTIVITIES		
Increase in share capital	432	—
Increase in (repayment) of long-term debt	(17,445)	2
Repayment of debt to Parent Company	(3,531)	—
Dividends	(1,280)	(1,280)
Dividends paid to minority interest	(14)	—
	(21,838)	(1,278)
INVESTING ACTIVITIES		
Additions to property and equipment	(7,789)	(2,541)
Disposal of net assets of business	29,929	—
	22,140	(2,541)
Net increase (decrease) in cash for the period	**1,402**	**(5,724)**
Bank indebtedness, beginning of period	(4,791)	(1,565)
Bank indebtedness, end of period	**($3,389)**	**($7,289)**

CONSOLIDATED BALANCE SHEETS

As at (In thousands of Canadian dollars)	March 22, 1997 (unaudited)	March 23, 1996 (unaudited)
ASSETS		
Current assets:		
Accounts receivable	$41,293	$41,691
Due from related company	5,091	—
Inventories	15,603	12,329
Prepaid expenses	3,625	5,063
Income taxes recoverable	—	935
	65,612	60,018
Investment in associated company	**43,293**	**38,618**
Property and equipment	**133,935**	**126,106**
Goodwill	**80,396**	**81,167**
	$323,236	**$305,909**

	March 22, 1997 (unaudited)	March 23 1996 (unaudited)
LIABILITIES AND SHAREHOLDERS' EQUITY		
Current liabilities:		
Bank indebtedness	$3,389	$7,289
Accounts payable and accrued charges	60,893	46,823
Due to related company	—	92
Dividends payable	1,283	1,280
Income tax payable	1,885	—
Current portion of long-term debt	187	—
	67,637	55,484
Long-term debt	**22,996**	**40,000**
Loan from Parent Company	**—**	**3,609**
Deferred income taxes	**20,766**	**19,200**
Minority interest	**72**	**161**
Shareholders' equity	**211,765**	**187,455**
	$323,236	**$305,909**